



Choosing a Structure

You may be starting out on your own, with family, or with a business partner. There are other options, too. The structure can change as the business grows, but begin with a form that is a good fit for where you are now.

Considering your options

The business structure you choose depends on the nature of your business (its complexity and growth potential) and the level of risk you are willing to take. Your choice will be influenced by whether you are starting out alone, or with one or more business partners, and by the purpose of your venture—whether ethical or charitable as opposed to financial.

Most people start out as a sole proprietor or in an informal partnership and are responsible for all business debts. As the business grows, it may eventually become necessary to register it legally (see pp.212–215) as a limited liability company. This protects your personal assets from any business debts and also enables you, and your business partner, to more easily secure loans and other finance.



Sole proprietor

Run by the owner under a business name; larger businesses may need to register as limited companies.

Pros

- › Setup is simple
- › Profits can be retained after tax
- › Capital required is minimal
- › No annual business accounts to file, only a personal income tax return

Cons

- › Debt liability unlimited: no distinction between your business and private assets
- › Capacity to raise additional capital is low
- › Decision-making rests on your shoulders



Contractor

Tends to work for one client at a time for the duration of a contract; can operate as a limited company.

Pros

- › Security of income from long-term contracts
- › Control over which contracts to accept and when to take a break
- › Pay is typically at a lucrative “day rate”

Cons

- › Contracts can end without warning, depending on terms
- › Working hours may be long and away from home
- › Time required to establish credibility



Freelancer

Self-employed sole proprietor who typically works on multiple projects for more than one client.

Pros

- › Start up costs are minimal, with the ability to work anywhere—including from home
- › Workload and schedule chosen by you
- › Flexibility around your working hours

Cons

- › Work can be sporadic, causing cash flow issues
- › Sense of isolation if you work alone
- › Financial management is your responsibility alone
- › Work-life balance may be difficult to achieve



Partnership

Enterprise where two or more people share the ownership, control, and profits of the business.

Pros

- › Partners bring their expertise, knowledge, and contacts to the business, along with their capital and other resources
- › No need to file any annual accounts

Cons

- › Issues can arise if one partner leaves or feels they are doing more than their pre-agreed fair share of the workload
- › Partners expected to pay tax on their own portion of profit